

— CONFIDENTIAL · FOR DOW LEADERSHIP

Dow's *supply chain*, on an **agentic spine**.

A small team of **AI agents**, sitting inside Dow's planning loop, watching every signal and acting only within the bounds Finance, Operations and Compliance have already set. Built on **KAF** for the agents and **PAC** for the policy.

FOR

Dow Inc. · *supply chain*

SCOPE

Four agents · *one reference flow*

ANCHORED ON

Dow 2026 outlook · *Q1 results*

PREPARED BY

Shaun Barney · *Kyndryl*

— WHERE THE WORK HAS TO LAND

A *201-site* footprint, volatile feedstock, and working capital that has to keep moving.

Dow is operating across **201 sites in 35 countries**, with 6,000 product families flowing through them. The pressure in 2026 is sharper than in a normal year, and every supply-chain decision is now a working-capital decision.

The shape of the *pressure*, in three lines.

Middle East disruption is now expected to persist through the end of 2026. Naphtha supply is impaired and pro-nap spreads have widened. Dow's geographic and feedstock flexibility is the buffer, but each switch is a planning decision that has to be taken at speed.

Working capital improved by **more than \$300M year on year** in Q1 2026 against a Transform-to-Outperform program targeting a further \$2B in near-term EBITDA. The next \$300M is harder. Stock positioning across 201 sites is still a weekly meeting, not a continuous decision.

Demand signals arrive late. By the time a regional shift or a logistics disruption reaches the planning cycle, the response window is already half gone, and replanning is still done largely by spreadsheet, with inputs spread across five systems.

The line that lands. *The platform that wins 2026 for Dow is the one that turns every signal into an action, inside the hour, without leaving the bounds Finance has already set.*

KYNDRYL · SUPPLY-CHAIN FRAMING · 2026

PRESSURE 01 · FEEDSTOCK

Feedstock *volatility*.

Middle East conflict expected to persist through 2026. Naphtha spreads widening. **Geographic and feedstock flexibility** is Dow's buffer, but each switch is a planning decision that must happen fast.

PRESSURE 02 · INVENTORY

Capital *trapped* in inventory.

Working capital improved \$300M+ YoY in Q1 2026. The next \$300M is harder. Stock positioning across **201 sites** remains a weekly meeting, not a continuous decision.

PRESSURE 03 · SIGNALS

Demand signals *arrive late*.

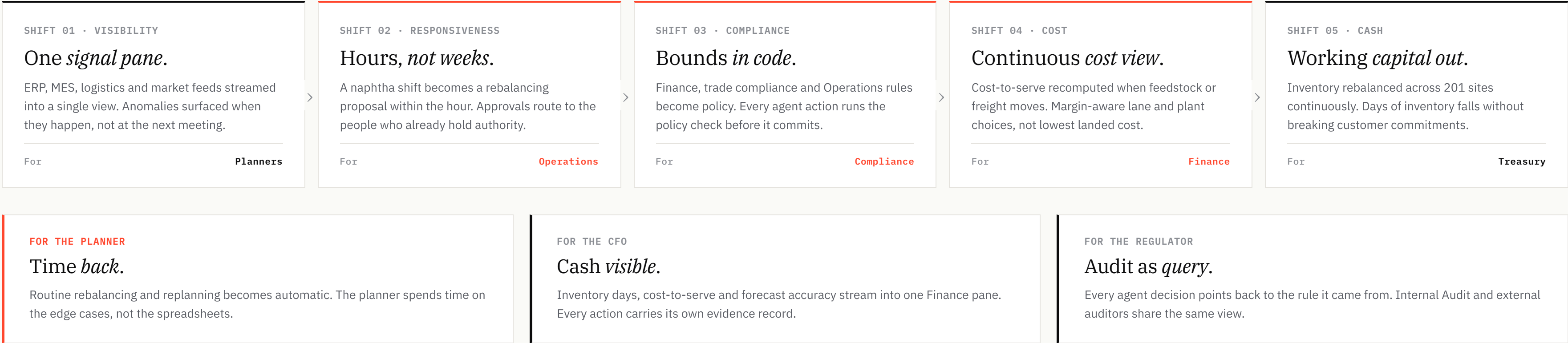
By the time a shift or disruption reaches the plan, the response window is half gone. Replanning is still **by spreadsheet**, with inputs across five systems.

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HOW THE DAY-TO-DAY MOVES

Same planners. Same ERP. Same *Finance bounds*. The platform handles everything in between.

Agents are not a replacement for Dow's planners. They sit inside the planning loop, watch the signals every planner wants to watch, and take the small, bounded actions that today wait for a Friday meeting.

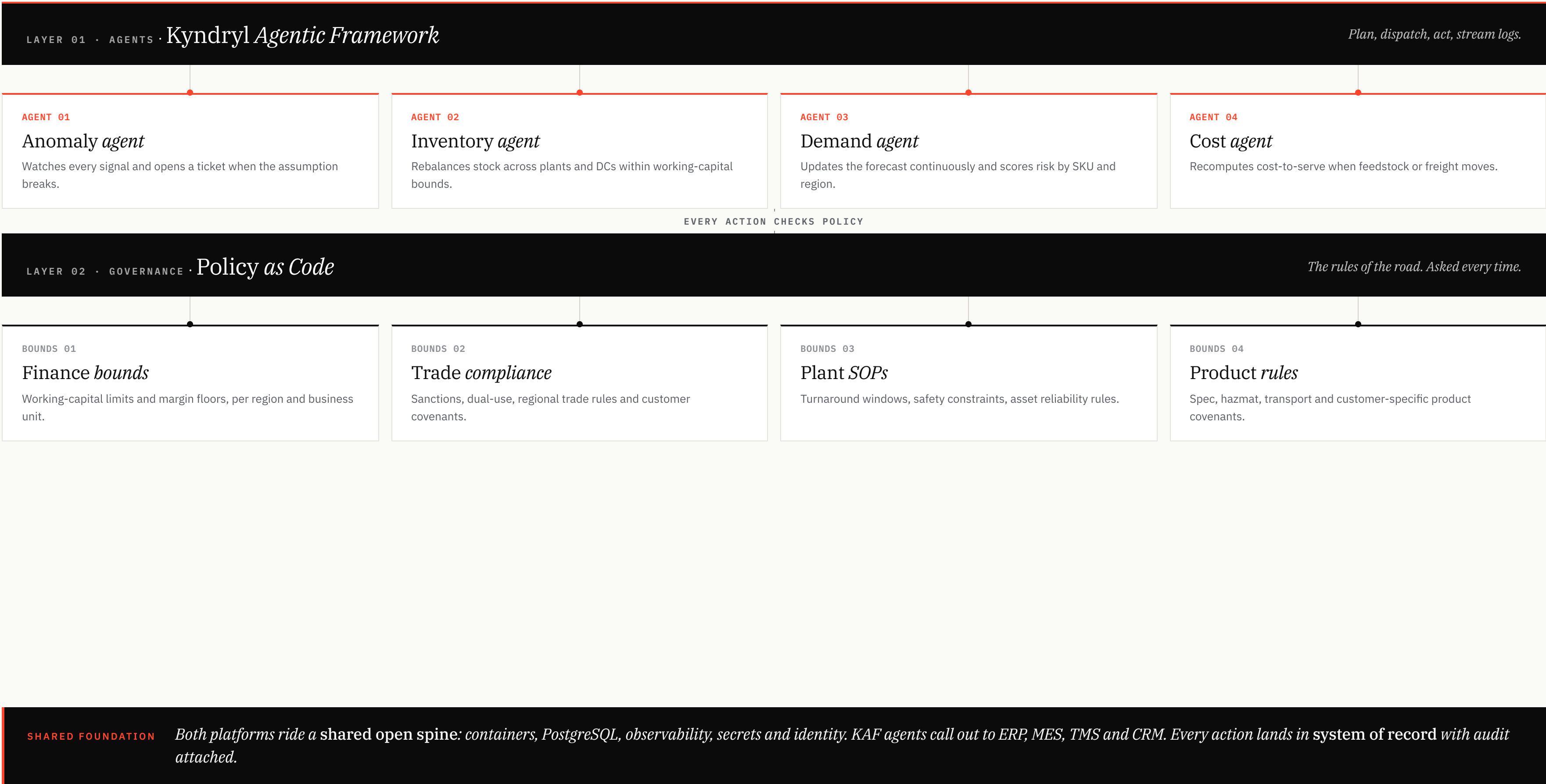


IN ONE LINE

The planner stays in charge. *The platform handles the in-bounds work and routes the edge cases with the evidence already attached.*

KAF FOR THE AGENTS, PAC FOR THE RULES

A *spine* for every agent. A *spine* for every policy. **One shared foundation.**



— THE KAF AGENT LINE-UP FOR DOW

Each agent is a *small, focused* service. Each one asks **PAC** before it acts.

• AGENT 01 · DETECT

Anomaly *agent*.

Watches every signal stream and flags the shifts that break the assumption behind today's plan.

WHAT IT OWNS

ERP, MES, TMS and market feeds. Opens a ticket with the affected plants and SKUs and the full data trail. Asks PAC whether the response is within **auto-action bounds**.

"I watch every signal and open a ticket the moment something ***breaks the plan***."

• AGENT 02 · REBALANCE

Inventory *agent*.

Owens the stock-positioning decision across plants and DCs, inside Finance and customer-commitment bounds.

WHAT IT OWNS

Rebalances against demand, lead time and working-capital limits. Writes **stock transfers and sourcing changes** back to ERP. PAC enforces days-of-inventory and customer covenants.

"I move stock across the network and keep ***days of inventory*** on target."

• AGENT 03 · FORECAST

Demand *agent*.

Continuously updates the forecast as new signals arrive. Scores risk per SKU, per region, per customer.

WHAT IT OWNS

Surfaces the **top three exposures** into S&OP each cycle. PAC enforces forecast version control, audit trails and product spec rules.

"I update the forecast as the signals arrive, and I tell you what's at ***risk***."

• AGENT 04 · PRICE

Cost *agent*.

Recomputes cost-to-serve whenever feedstock, freight or duty rates move. Margin-aware lane and plant scoring.

WHAT IT OWNS

Calls out choices that **break the planning assumption**. PAC enforces Finance margin floors, trade rules and regional cost models.

"I recompute cost-to-serve every time the feedstock or the ***freight*** moves."

k One naphtha shock, traced end to end. Inside the hour.

WORKED EXAMPLE · FEEDSTOCK DISRUPTION

A 10% naphtha spike hits the feed for a European cracker. Five moves, one hour, every step logged.

Each step is a single agent doing a single thing, with PAC checked before any action commits. The planner sees the full trail at the end and either confirms or overrides.

T + 0 MIN

Anomaly detected.

Market feed shows naphtha up 10% in two hours. The anomaly agent opens a ticket against the affected cracker and DCs.

Run byAnomaly agent

>

T + 5 MIN

Cost recomputed.

Cost agent recalculates cost-to-serve for every SKU that depends on this cracker. Margin floors flagged on 14 SKUs.

Run byCost agent

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T + 12 MIN

Policy check.

Inventory agent prepares a rebalancing across two plants. PAC evaluates: within working-capital limit, within trade rules, no covenant breach.

Run byPAC · OPA

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T + 20 MIN

ERP updated.

Inventory agent commits stock transfers and sourcing swaps. Demand agent updates the regional forecast for the affected SKUs.

Run byInventory · Demand

>

T + 55 MIN

Planner sign-off.

Planner sees a single screen: cause, agents that acted, every PAC check, every ERP write. One click confirms or overrides.

Run byHuman in the loop

IN ONE LINE From market signal to ERP commit, with the policy proof attached, in under an hour. Today this is a Friday meeting.

WHY AGENTS CAN BE TRUSTED TO ACT

The *rule on paper* becomes the *rule in production*. Same artefact, both sides of the line.

From *document* to runtime, with the trail attached.

PAC reads the documents Dow already runs the business on, pulls out the underlying rules, and compiles them into executable policy. Finance limits, trade compliance, plant SOPs, product covenants all become code, all versioned, all auditable.

Every agent action asks the policy engine before it commits. Decisions return **allow, deny, or route to a planner**, with a reason chain back to the source rule. Sub-second decisions, stateless, horizontally scalable.

Internal Audit and external auditors share the **same view** of every decision the system ever made. Compliance becomes a query, not a project, and a regulator can be answered with evidence rather than narrative.

The line that lands. *The same artefact the reviewer reads is the one the runtime evaluates. Autonomy without that guarantee is not Finance-acceptable.*

KYNDRYL · GOVERNANCE FRAMING · 2026

LAYER 01 · SOURCE

Document *to* code.

Finance policies, trade manuals, plant SOPs, product specs. PAC reads them, pulls out the rules, and compiles them into runnable modules. **Auto-generated tests, versioned, signed off.**

LAYER 02 · RUNTIME

Asked *every* time.

Every agent action runs a policy check before it commits. Inputs and the policy version are **recorded on every call**. Allow, deny, or route to a planner with the evidence attached.

LAYER 03 · AUDIT

Audit is a *query*.

Every decision carries a **reason chain** back to the source rule. Filter by plant, region, customer, agent, period. One record per decision, shared with Internal Audit and the regulator.

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THE NUMBERS WE ANCHOR TO

Four *outcome lines*, each tied to a published benchmark, each translatable into a **Dow dollar**.

We do not invent percentages. Every figure here is anchored on Dow's own disclosures or published research (McKinsey, SCMR, Gartner). The work in a Dow engagement is translating these into Dow's working-capital model and Transform-to-Outperform targets.

Nº	THE OUTCOME LINE	WHY IT MATTERS FOR DOW	THE FIGURE
01	Working capital released Continuous inventory rebalancing across the 201-site network.	Dow has already delivered \$300M+ year on year in Q1 2026. The same mechanic, automated and continuous, is how the next \$300M lands without a reorg.	+\$300M Dow Q1 2026 results, repeatable
02	Inventory reduction AI-led rebalancing across multi-plant networks, service levels held flat.	Across published supply-chain AI engagements, inventory reductions of this scale come with no service-level loss when policy bounds are explicit.	−35% McKinsey, supply-chain AI study
03	Forecast accuracy uplift Continuous replanning over weekly-cycle baselines.	Forecast-accuracy uplift compounds: every percentage point reduces safety stock and unlocks further working capital, with no other change in operating model.	+20–40% SCMR composite, peer-reviewed
04	AI adoption rate Lead cohort vs laggards in supply-chain AI.	Top supply-chain performers adopt AI at twice the rate of laggards. Dow's footprint and Finance discipline put it in the position to be in the lead cohort .	2× Gartner, supply-chain study

— HOW WE LAND THIS

A *narrow first engagement*, in one Dow region, against a flow that is already **painful enough to fund itself**.

Not a programme. *A pilot*.

We do not propose a platform programme. We propose a pilot bounded by a **single supply-chain flow** and a **single Finance bound**. Same KAF, same PAC, same shared spine, but the scope is one function and one quarter.

The first cohort of agents is small. Two services, narrow tools, read-only against ERP for the first two weeks. We measure against the **working-capital baseline**, not against a model. When the loop is open, the same platform carries every agent that follows.

The promise. *The first Dow supply-chain agent goes live inside Q1, and the same KAF and PAC spine carries every agent that follows.*

STEP 01 ·
PICK

Pick the *flow*.

One region. One feedstock. One agent set. The naphtha-exposed European cracker is the natural first candidate. **Working-capital impact** is the scoring metric.

STEP 02 ·
STAND UP

Stand it *up*.

Anomaly and Inventory agents first. Two services, narrow tools. PAC ingests the relevant **Finance and SOP rules**. Read-only against ERP for the first two weeks.

STEP 03 ·
OPEN

Open the *loop*.

Move from read-only to **auto-action within bounds**. Planner approves the first 50 actions. PAC owns the rest. Measure against the working-capital baseline.